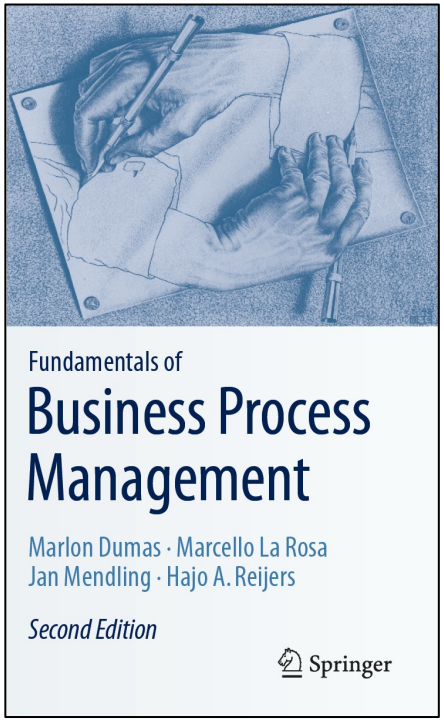
Chapter 1: Introduction to BPM



Contents

1. Processes Everywhere
2. Ingredients of a Business Process
3. Origins and History of BPM
    1. The Functional Organization
    2. The Birth of Process Thinking
    3. The Rise and Fall of BPR
4. The BPM Lifecycle
5. Recap

Chapter Overview

- Business Process Management (BPM) is the art and science of overseeing how work is performed in an organization to ensure consistent outcomes and to take advantage of improvement opportunities.
- The term “improvement” may take different meanings depending on the objectives of the organization, e.g. reducing costs, reducing execution times, and reducing error rates, but also gaining competitive advantage through innovation.
- Improvement initiatives are one-off or continuous; incremental or radical.
- BPM is about managing processes, i.e. entire chains of events, activities, and decisions.
- In this chapter, we describe typical processes that are found in contemporary organizations.
- We provide a definition of business process and BPM.
- We then provide a historical overview of the BPM discipline.
- Finally, we discuss the BPM lifecycle, around which the book is structured.

Examples of Processes in Many Organizations

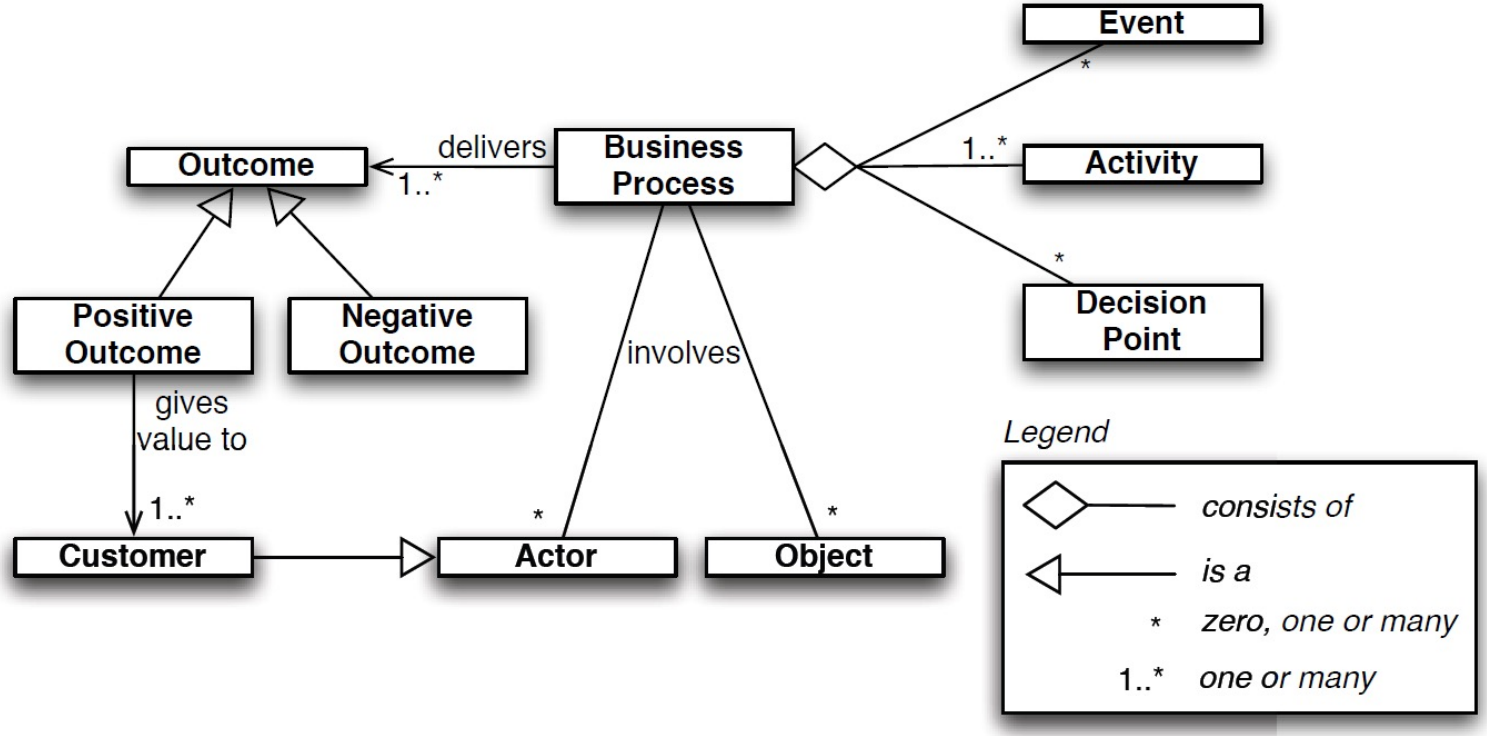
- Order-to-Cash
- Quote-to-Order
- Procure-to-Pay
- Issue-to-Resolution
- Application-to-Approval

Definition of Business Process



A business process as a collection of inter-related events, activities, and decision points that involve a number of actors and objects, which collectively lead to an outcome that is of value to at least one customer.

Ingredients of a Business Process



Definition of Business Process Management



BPM as a body of methods, techniques, and tools to identify, discover, analyze, redesign, execute, and monitor business processes in order to optimize their performance.

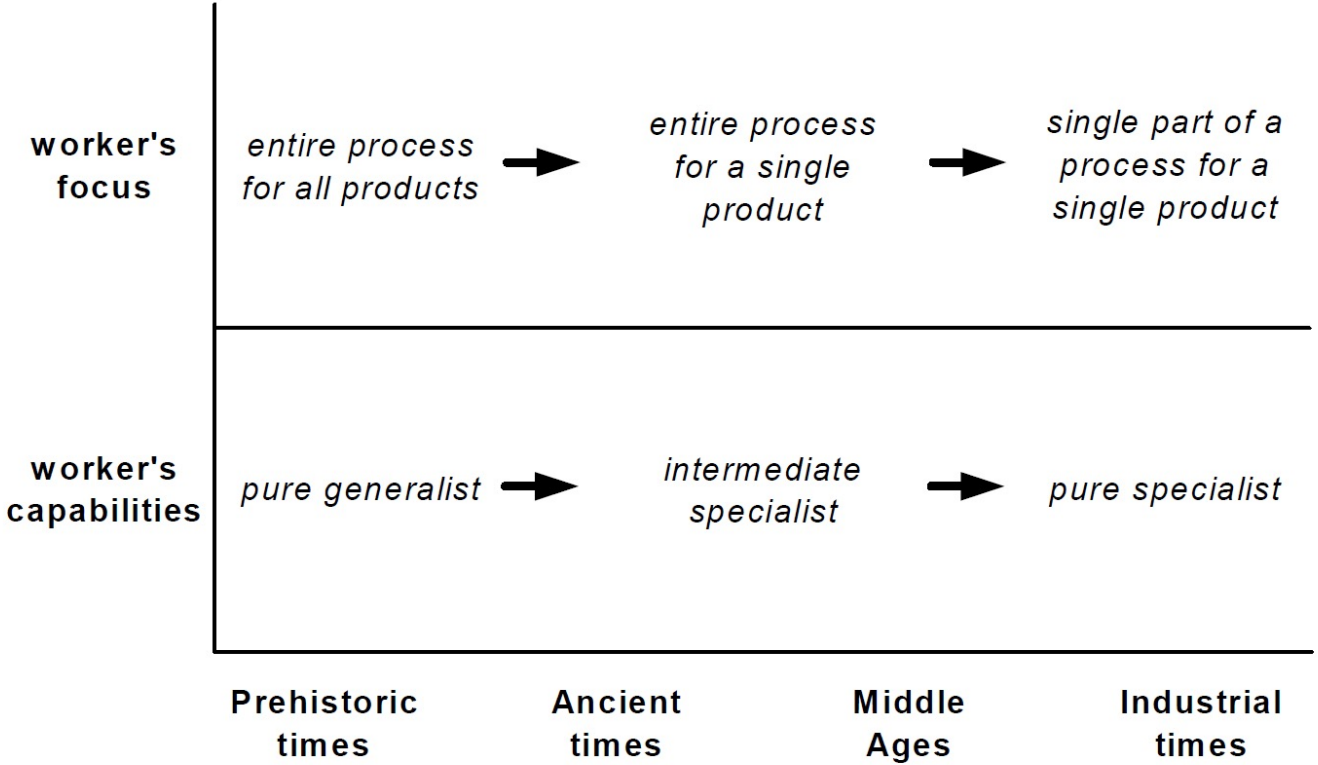
Related Disciplines

- **Total Quality Management (TQM)**
  - Focus on continuously improving and sustaining the quality of products and services.
  - TQM puts emphasis on products and services themselves, while BPM focuses on improvement of processes.
  - Applications of TQM are primarily in manufacturing while BPM more in service organizations.
- **Operations Management**
  - Concerned with managing physical and technical functions of organization, particularly those relating to production and manufacturing.
  - Using probability theory, queuing theory, decision analysis, mathematical modeling, and simulation for optimizing efficiency of operations.
  - Such techniques are also useful in.
  - Often concerned with controlling an existing process, while BPM making changes to an existing process in order to improve it.

Related Disciplines

- **Lean**
  - Originates from manufacturing, in particular Toyota Production System.
  - Eliminates waste, i.e., activities that do not add value to the customer.
  - BPM puts more emphasis on use of information technology as a tool to improve business processes and to make them more consistent and repeatable.
- **Six Sigma**
  - Originates from manufacturing, in particular from production practices at Motorola.
  - Focuses on minimization of defects (errors).
  - Strong emphasis on measuring output of processes, especially in terms of quality.
  - Popular approach to blend Lean with Six Sigma, leading to Lean Six Sigma.

How process moved out of focus through ages

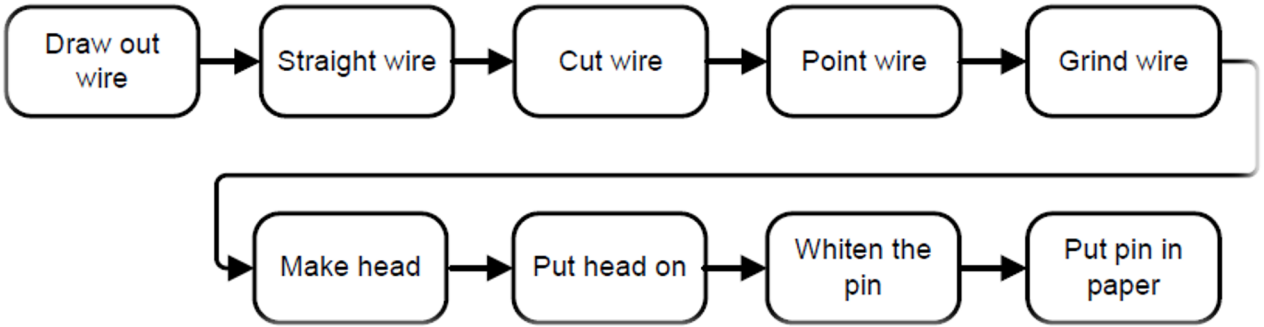


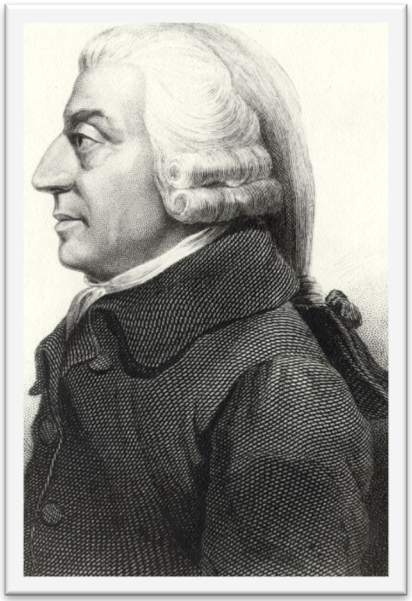
Adam Smith: Processes and Division of Labour

"To take an example, the trade of a pin-maker: But in the way in which this business is now carried on, it is divided into a number of branches:

- One man draws out the wire; another straights it;
- a third cuts it; a fourth points it; a fifth grinds it at the
- top for receiving the head; to make the head requires
- three operations; to put it on is a peculiar business;
- to whiten the pins is another; to put them into the paper;

and the important business of making a pin is, in this manner, divided into about eighteen distinct operations."

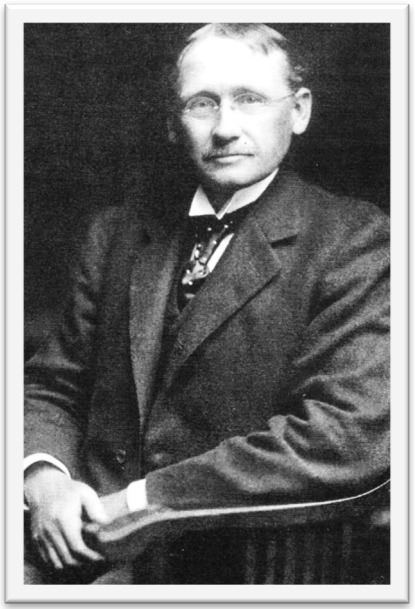




Source: Smith 1776
Picture: http://www.library.hbs.edu/hc/collections/kress/kress_img/adam_smith2.htm

Frederick W. Taylor: Scientific Management

- Meticulously studying labor activities
- Work instructions for workers
- Managers oversee the productivity of groups of workers
- Units and their managers were structured hierarchically
- Functional organization remains dominant until the end of 1980s.

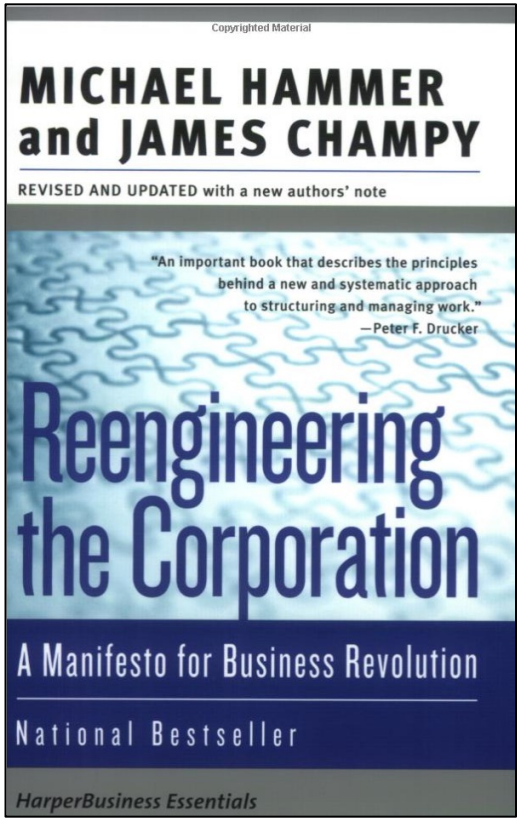


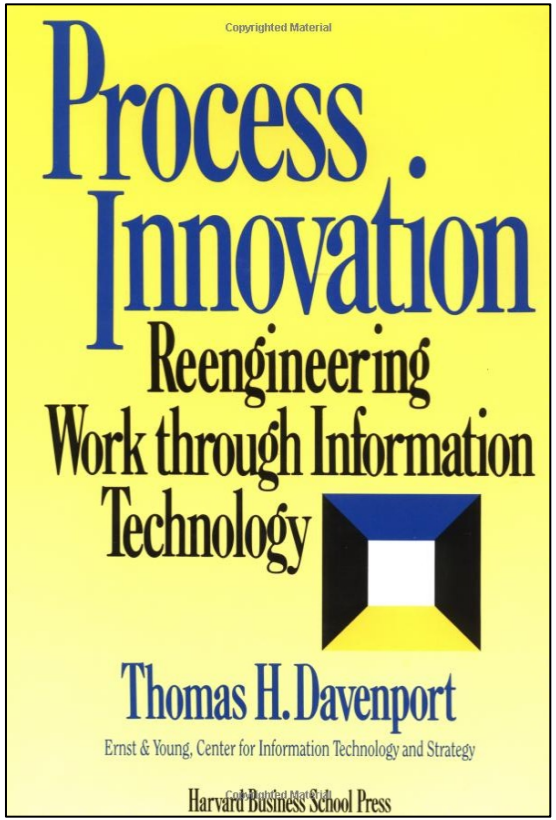
Source: Wikimedia Commons

Birth of Process Thinking: Business Process Reengineering (BPR)



Michael Hammer was a Jewish-American engineer, management author, and a former professor of computer science at the Massachusetts Institute of Technology (MIT). Hammer and James A. Champy founded the management theory of business process reengineering (BPR). They wrote *Reengineering the Corporation: A Manifesto for Business Revolution* in 1993.

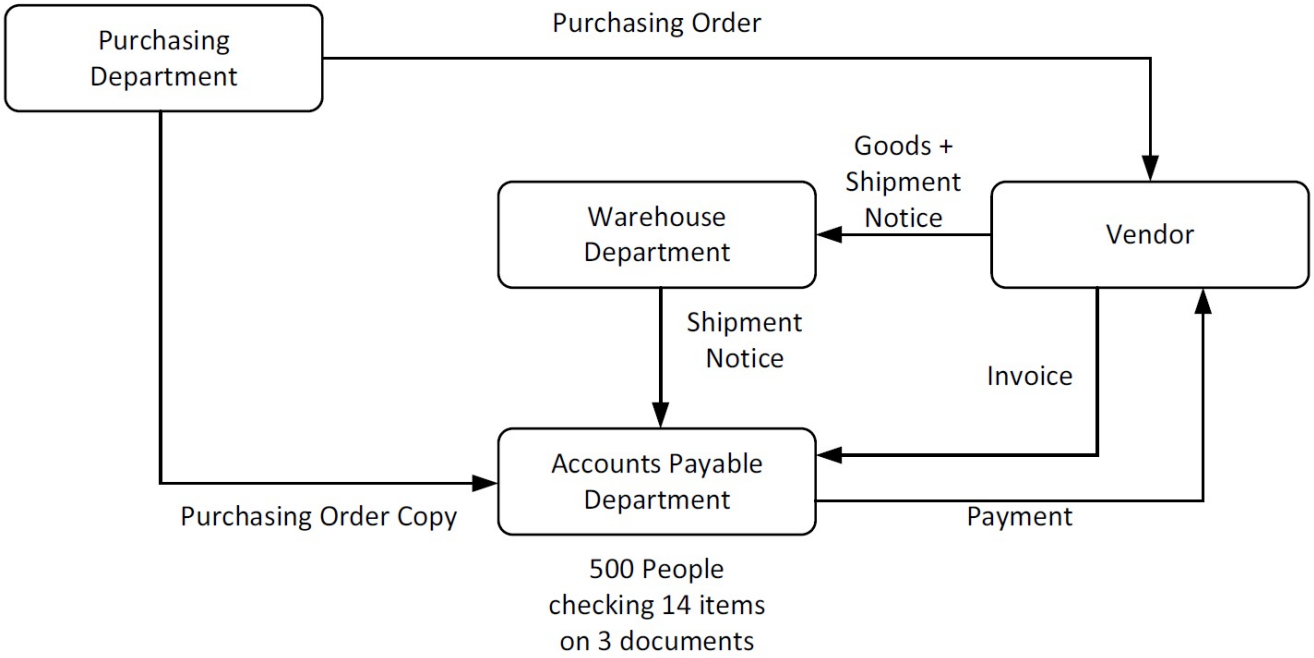




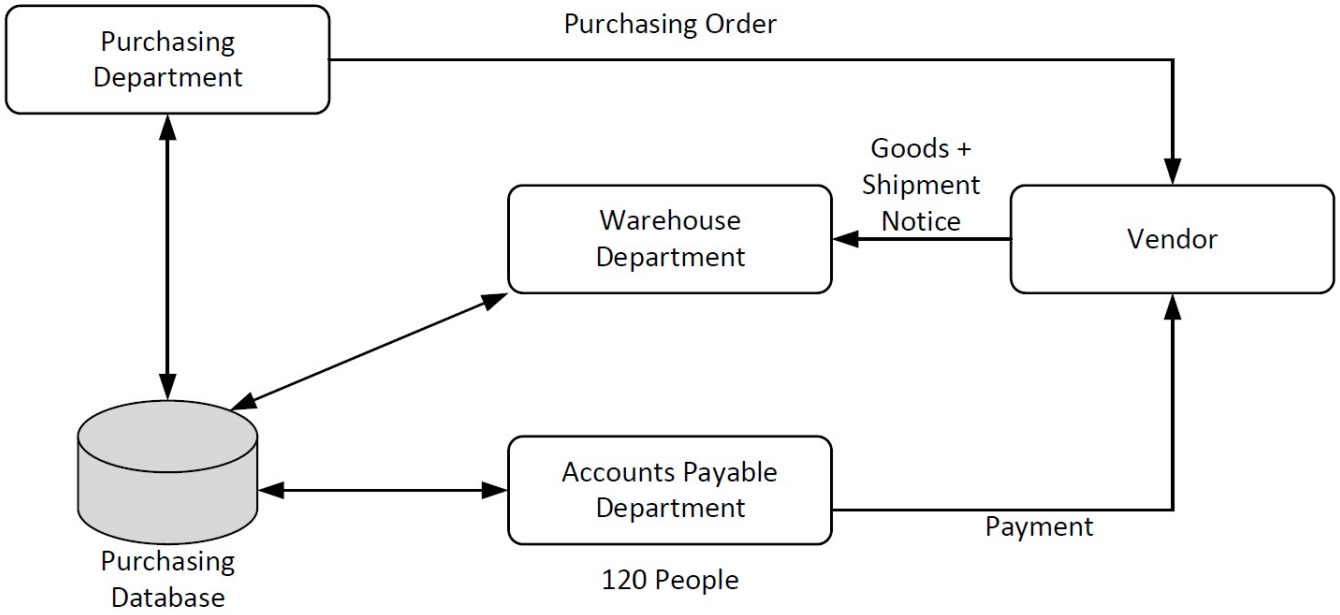


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Purchasing process at Ford at the initial stage



Purchasing process at Ford after redesign



Question: Purchasing process at Ford

Consider the purchasing process at Ford.

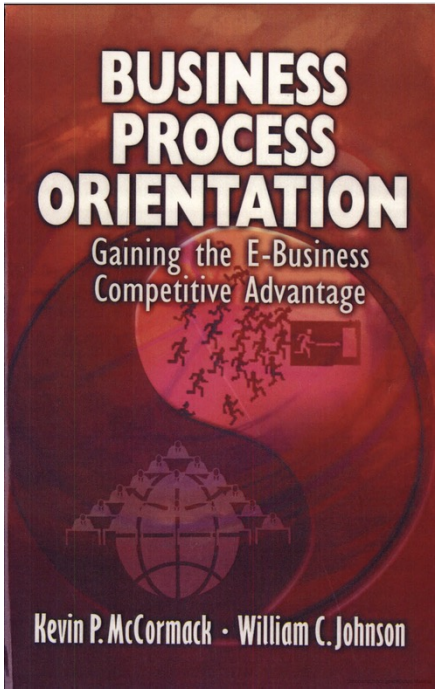
1. Who are the actors in this process?
2. Which actors can be considered as customers in this process?
3. What value does the process deliver to its customers?
4. What are the possible outcomes of this process?

The Rise and Fall of BPR

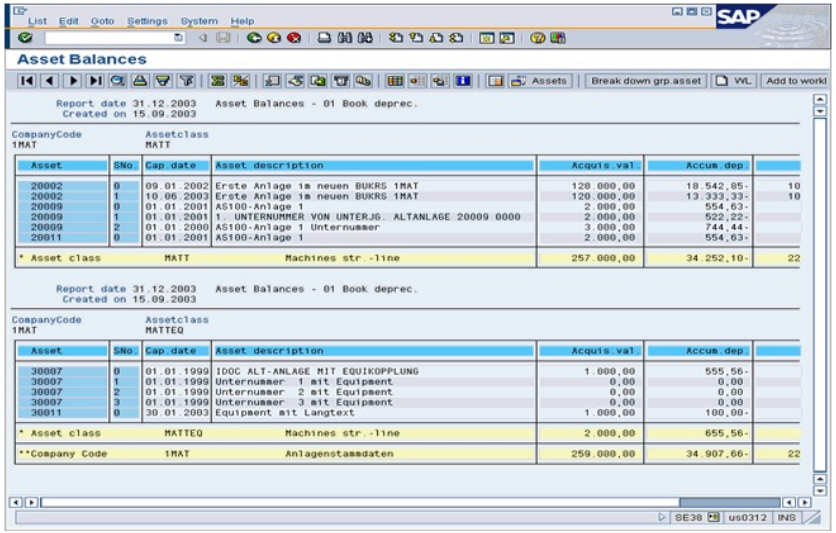
1. Concept misuse:
   - Projects were labeled BPR, even when business processes were not the core.
   - Many corporations initiated reductions of workforce, often packaged as process redesign projects, which triggered resentment.
2. Over-radicalism:
   - Hammer's early papers states: "Don't Automate, Obliterate".
   - Many situations require a much more gradual (incremental) approach.
3. Support immaturity:
   - Necessary tools and technologies were not yet available or insufficient.
   - Much process logic had to be hard-coded in IT applications of the time.
   - People grew frustrated when they noted that their efforts on redesigning a process were thwarted by a rigid infrastructure.

Reshaping Process Thinking

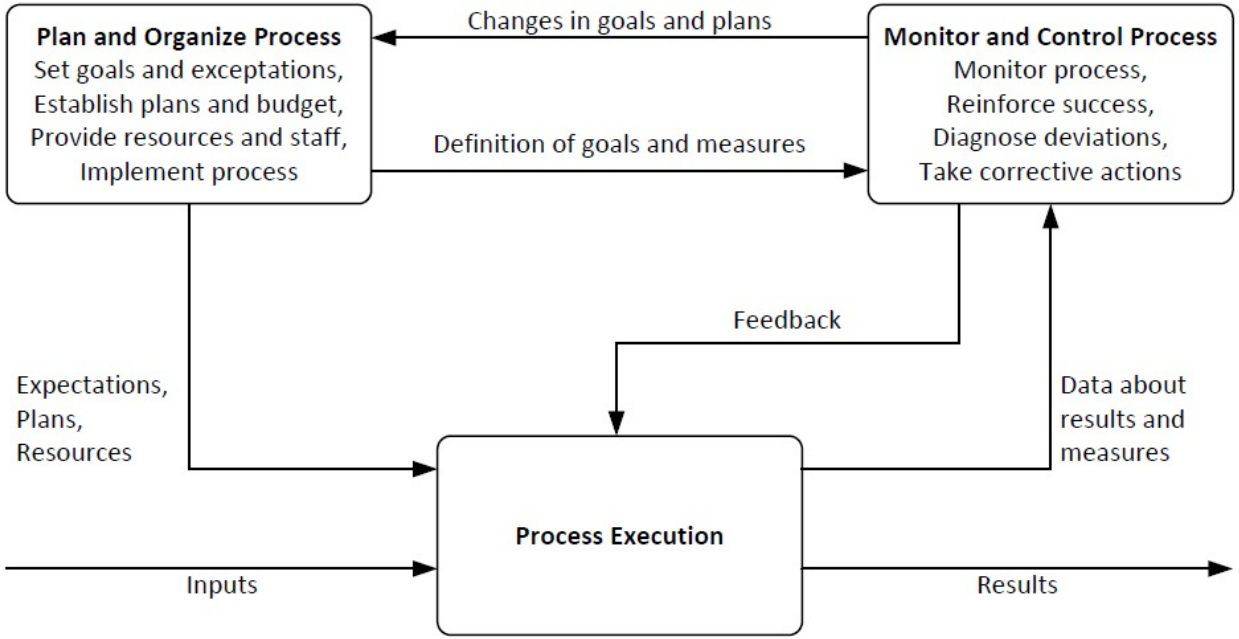
Process Orientation is productive



ERP Systems penetrate the market



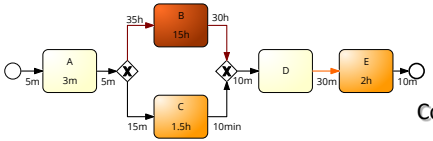
Job Functions of Process Owner



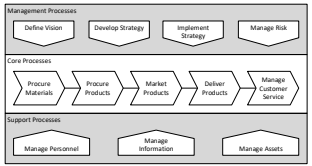
Establishing Process Thinking in Organizations

- Establish BPM Team
- Describe Process Architecture
- Define Process Performance Measures
- Discover and Model Processes
- Analyze, Redesign, Implement and Monitor Processes
- Make Use of Process-Aware Information Systems

The BPM Lifecycle



Process identification



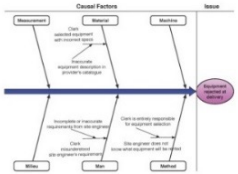
Process architecture

Process discovery

As-is process model



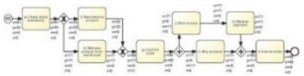
Process analysis



Insights on weaknesses and their impact

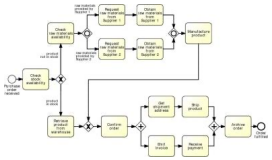
Process redesign

To-be process model



Process implementation

Executable process model



Process monitoring

Conformance and performance insights

Stakeholders in the BPM Lifecycle

- **Management Team:**
  - Chief Executive Officer (CEO) responsible for overall business success.
  - Chief Operations Officer (COO) responsible for defining the way operations are set up, sometimes Chief Process Officer (CPO) or Chief Process and Innovation Officer (CPIO).
  - Chief Information Officer (CIO) responsible for operation of information system infrastructure.
  - Chief Financial Officer (CFO) responsible for overall financial performance of the company.
  - Human Resources (HR) director plays key role in processes that involve many process participants.

- **Process Owners:**
  - Process owner is responsible for efficient and effective operation of a given process, including
  - Planning and organizing, i.e. defining performance measures and objectives as well as initiating and leading improvement projects.
  - Monitoring, i.e. ensuring that performance objectives are met, and taking corrective actions.
  - Process owner is involved in process modeling, analysis, redesign, implementation, and monitoring.

Stakeholders in the BPM Lifecycle

- **Process Participants:**
  - Perform activities of business process on day-to-day basis.
  - Conduct routine work according to the standards and guidelines of the company.
  - Coordinated by process owner, who is responsible for non-routine aspects of process.
  - Involved as domain experts during process discovery and process analysis.
  - Support redesign activities and implementation.
- **Process Analysts:**
  - Conduct process identification, discovery, analysis, and redesign.
  - Coordinate implementation and monitoring.
  - Report to management and process owners
  - Have business or IT background.
- **Process Methodologist:**
  - Provides advice on methods, techniques and software tools.
  - Coordinates technical training.
- **System Engineers:**
  - Translate requirements into system design
  - Responsible for implementation, testing and deployment.
- **BPM Group (also BPM Center of Excellence):**
  - Responsible for preserving project knowledge and documentation.
  - Maintain process architecture.
  - Prioritize process redesign projects.
  - Align the BPM efforts with strategic goals.
  - Most common in large organizations with several years of BPM experience.

Recap

- A process is a collection of events, activities, and decisions that collectively lead to an outcome that brings value to an organization's customers.
- Every organization has processes.
- Managing processes ensures that they produce value.
- BPM is a body of principles, methods, and tools to design, analyze, execute, and monitor business processes.
- Process models and performance measures are pillars for managing processes.
- Various related disciplines complement BPM, such as Lean, Six Sigma, and Total Quality Management.